

SNAPSHOT | 2 min read

Our multi-asset investment views – March 2026

After the spike in oil prices, the outlook is more balanced from here – but that doesn't mean volatility is over. Find out more in our latest multi-asset views.

20/03/2026



We came into the Iran war positioned for a benign cyclical environment with a bias towards inflation risk, given expectations of fiscal stimulus and a focus on supply chain resilience in a deglobalising and geopolitically tense world. This combination of views led us to an overweight position in equities and commodities and an underweight position in bonds.

We clearly have no edge in predicting what will happen next in the Middle East. We have decided to take profits on our broad commodity position as, after the spike in oil prices, the outlook is more balanced from here. That doesn't

mean that volatility is over however as investors now need to determine how central banks might react to this stagflationary shock. We don't think the situation is as extreme as 2022 in that the starting level of interest rates is considerably higher and the underlying level of inflation is lower. Nevertheless, we think there is further upside in bond yields and would expect the US 10 year to rise to 4.5%. We also believe there is upside to the US dollar as the US is less vulnerable to the energy shock. We also turn negative on US investment grade credit as current spreads offer little protection against the potential for stagflationary risks and increasing issuance (consistent with late cycle dynamics).

We maintain our overweight position in equities but have decided to close the overweight to international value stocks as financials remain vulnerable to rate concerns and the US is likely to be more resilient to any protracted oil price spike.

We remain long gold despite recent volatility, as we expect continued structural demand from emerging market central banks and see it as an important diversifier against fiscal and geopolitical risks. We also maintain our long position in local EMD given attractive real yields and better debt dynamics.

In conclusion, we still believe there is upside to equities as we see low risk of recession. However, we acknowledge the risk of protracted energy supply disruption and so we have reduced the cyclical of our equity exposure and increased our exposure to the US dollar. We have monetised our long commodity hedges but remain underweight bonds as the level of yields poses a valuation risk to equities.

 Long / positive

 Neutral

 Short / negative

 Up from last month

 Down from last month

Main Asset Classes

 Equities

We maintain our positive view on equities, fading near-term geopolitical risks. We recognise that volatility may remain elevated, however fundamentals remain supportive.

 Government bonds

We remain negative on government bonds, reflecting the view that markets remain too complacent about the inflation risks of an extended conflict in the Middle East.

Commodities

We took profits on our broad commodities position and have downgraded our view to neutral. Following the spike in oil prices, much of the risk has shifted from acute to potentially chronic.

Corporate bonds (credit)

We have downgraded our score for credit to negative. This reflects our belief that tight spreads are no longer reflective of prevailing risks in the market.

Equities

US

We maintain a positive view on US equities despite recent underperformance, with earnings growth and a healthy consumer underpinning growth. We see opportunities both in mega-cap stocks and the broader index.

UK

We maintain a neutral stance on UK equities. Despite potential resilience to AI disruption, there are few clear catalysts for growth in the UK and political uncertainty continues to weigh on sentiment.

Europe ex UK

We remain neutral on European equities. Despite a supportive fiscal backdrop, the market faces headwinds due to energy price sensitivity and large banking exposure.

Japan

We maintain a neutral view, although expectations of additional fiscal support following the recent election may help underpin domestic activity.

Global Emerging Markets (EM)¹

We have upgraded our view on EM equities to positive, with a particular focus on Asia, where countries with greater exposure to the technology sector stand to benefit from tailwinds around the AI theme.

Asia ex-Japan: China

We remain neutral, with few catalysts for growth in the near-term. Exports have been strong since the start of the year, but domestic demand remains weak.

EM Asia ex China

Export-oriented Asian markets benefit from US strength and industrial resilience, with relatively fewer geopolitical worries than China.

¹Global Emerging Markets includes Central and Eastern Europe, Latin America, and Asia.

Government bonds

US

We remain negative on US Treasuries. The potential for energy prices to remain high combined with solid growth create upside risk for yields.

UK

We remain neutral on gilts. The rise in oil prices caused by the Middle East conflict has reduced the likelihood of previously anticipated rate cuts by the Bank of England.

Europe

We retain a neutral stance on European government bonds. As one of the main importers of Gulf oil, the region is vulnerable to energy price rises.

Japan

We remain neutral on JGBs. While fiscal expansion continues to support growth, policy normalisation and global deflation risks temper their attractiveness at current levels.

US inflation-linked bonds

While inflation has moderated, risks are skewed to a second wave particularly as the impacts of the Middle East war push energy prices higher.

Emerging markets local currency bonds

We remain positive on EM local debt. The combination of attractive carry and improving fundamentals supports EM local returns.

Investment grade credit



US

We maintain our negative view on the sector, with spreads remaining tight and the potential for recent stress in private credit to spill over into public markets.



Europe

We prefer Europe over the US but remain neutral overall. Valuations are less stretched than in the US, however Europe has greater sensitivity to energy price rises.



Emerging markets USD

We have downgraded our view, as regional exposure to the Middle East and Asia means the risk of spreads widening is greater than current levels currently reflect.

High yield bonds (non-investment grade)



US

We have downgraded the sector to negative, owing to exposure to AI related companies and susceptibility to a change in technicals.



Europe

We have downgraded to negative, with valuations expensive and the conflict in Iran posing a risk due to sensitivity to energy prices.

Commodities



Energy

We have taken profits on our energy position as oil prices have moved significantly higher since the start of the month. We do not believe the current situation and level of prices is sustainable and so we switch to neutral while we wait for clarity on the duration/outcome of the war.



Gold

We remain positive as demand remains high. Despite recent price volatility, the medium term trend of central bank buying continues, with Malaysia recently increasing their gold reserves for the first time since 2018.



Industrial metals

There is potential for supply side disruption to aluminium due to the Middle-East

conflict, however we do not see evidence of enough demand for a wider range of metals to justify upgrading our view.

Agriculture

With a generationally high supply of grains, agriculture is likely to be a laggard among commodities, although agriculture does have some sensitivity to any closure of the Strait of Hormuz, specifically in the supply of fertiliser.

Currencies

US \$

We have upgraded our view on the dollar. The current uncertainty in the Middle East and the US's position as a net oil exporter means the region is less exposed to the current supply constraints. In addition, cyclical dynamics could be a tailwind to the dollar in the near term.

UK £

We remain neutral on sterling. The macro backdrop remains weak, and the likelihood of anticipated rate cuts from the Bank of England has reduced following upward pressure on inflation due to the rise in energy prices.

EU €

We have downgraded the euro to negative. We expect the currency to be the main source of selling as investors increase their exposures to the dollar, particularly as Europe has a greater sensitivity to the energy price shock.

CNH ¥

We remain neutral. Inflation has moderated, which may be supportive. China also seems relatively insulated from energy price shock, due to coal, storage and link to Russia.

JPY ¥

We maintain a neutral view on the yen, given the gradual pace of policy normalisation and broadly balanced near-term currency dynamics.

Swiss franc ₣

We stay neutral on the Swiss franc, as safe-haven support in a weaker dollar environment is offset by intervention risk and less attractive entry levels.

Source: Schroders, February 2026. The views for equities, government bonds and commodities are based on return relative to cash in local currency. The views for corporate bonds and high

yield are based on credit spreads (i.e., duration-hedged). The views for currencies are relative to the US dollar, apart from the US dollar which is relative to a trade-weighted basket.



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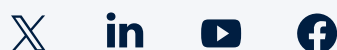
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